IN THE COURT OF CHIEF METROPOLITAN MAGISTRATE, ESPLANADE, MUMBAI

(Presiding Officer – M. A. Shinde)

Case No. 49/SA/2019

(CNR NO. MHMM11-000211-2019)

Kotak Mahindra Bank Ltd.
Having its registered office at 27 BKC,
C-27, G Block, Bandra Kurla Complex,
Bandra (East), Mumbai – 400 051
and having its Branch Office at 159-A,
Vinay Bhavya Complex, Bandra (E),
Mumbai – 400 051
Through its Authorized Officer
Mr. Remy Thomas … Applicant

Vs.

1] M/s. Jeaneration Clothing Pvt. Ltd.
2] Mr. Ashok Shah
3] Mrs. Nayna Ashok Shah
4] Mr. Rahul S. Shah
5] Mr. Chinut M. Shah
6] Mr. Kamal P. Shah
7] Mr. Shambjibhai K. Shah … Respondents

Appearances :-

For Applicant :- Advocate Pranay Juvekar

ORDER BELOW EXH.1

1] This is an application Under Section 14 of the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002 (in short **"SARFAESI Act"**) for taking possession of the secured assets known as :-

"Flat No. 42 on the 4th Floor in B Wing in Building No. E in Rustomjee Adarsh Dugdhalay Lane, Malad (West), Mumbai – 400 064."

2] Brief contents of application are as under :-

Applicant Bank has granted aggregate financial assistance of Rs.5,52,33,000/- (Rupees Five Crore Fifty Two Lakhs Thirty Three Thousand only) to the respondents on 04.12.2018.

As against financial assistance Borrowers and Guarantors have created security interest over above referred secured assets. Secured assets are situated within territorial jurisdiction of this court. Till the date of filing of this application applicant is holding a valid and subsisting security interest over secured assets. In pursuance to granting of financial assistance and creating of security interest over secured assets various documents are executed by respondents in favour of applicant. In due course borrower has committed default in repayment of the financial assistance, thus the account of the borrower has been classified as "Non Performing Asset". In sequel, notice U/Sec. 13(2) of the SARFAESI Act was issued on 05.08.2019 and served upon borrowers and called upon them to repay outstanding amount within 60 days from the date of service of notice. But borrower has not repaid financial assistance despite of such notice. Hence, applicant is constrained to file this application, which is well in limitation.

3] In catena of judgments Hon'ble Supreme Court and Hon'ble Bombay High Court have settled the position of law that no notice is required to be issued to borrowers and guarantors when application Under Section 14 of SARFAESI Act is filed. Thus no notices are issued to respondents.

4] It is requirement of Section 14 of SARFAESI Act that Authorised Officer of applicant financial institute has to file affidavit containing therein facts mentioned in Section 14(1)(b)(i) to 14(1)(b)(ix). Accordingly Authorised Officer had filed affidavit at Exh. 3 stating that there is no stay and no case is pending in respect of the secured assets. In addition to affidavit, copies of documents are placed on record. Authorised Officer has also tendered original documents before Court, for verification with copies on record. Such documents are loan sanction order, loan agreement, documents relating to mortgage to create security interest over secured assets, notice under section 13(2) of SARFAESI Act to respondents, its postal receipts and acknowledgments etc.

5] I have gone through pleading, affidavit and documents as well heard to Advocate Pranay Juvekar for applicant.

From the scenario what reveals is that applicant has granted aggregate financial assistance of Rs.5,52,33,000/- (Rupees Five Crore Fifty Two Lakhs Thirty Three Thousand only) to the respondents on 04.12.2018. In pursuance of such financial assistance respondents have executed various documents in favour of applicant to create security interest over aforesaid secured assets. However, in due course failed to repay loan. Thus applicant constrained to declare borrowers account as "Non Performing Asset" and constrained to issue notice on 05.08.2019 U/Sec. 13(2) of SARFAESI Act, demanding outstanding amount of Rs.5,32,92,950/- (Rupees Five Crore Thirty Two Lakhs Ninety Two Thousand Nine Hundred Fifty Only) but in vain, as respondents have not complied the notice within stipulated period of 60 days. Thus present application came to be filed. Whereas secured assets are

located in territorial jurisdiction of this Court and claim of applicant is well in limitation. So I do not found any barrier to pass order in favour of applicant Under Section 14 of SARFAESI Act to take over possession of aforesaid secured assets. Hence, the order.

ORDER

i) Application is allowed.

ii) Assistant Registrar of Borivali Centre of Courts, Mumbai is appointed as the Court commissioner to take possession of the secured assets *viz*. **"Flat No. 42 on the 4th Floor in B Wing in Building No. E in Rustomjee Adarsh Dugdhalay Lane, Malad (West), Mumbai – 400 064"** by taking such steps and using such force including breaking open the lock thereof or taking assistance of police, if required, at the expenses of the applicant and deliver possession thereof along with documents/ articles, if any, found therein to the authorised officer, after preparing panchanama and taking inventory of the secured assets.

iii) The Assistant Registrar concerned shall report compliance within 90 days from the receipt of the writ of commission.

iv) Issue writ of commission accordingly on payment of Rs.10,000/- for secured assets towards the Court commissioner's fees, which, if deposited be credited to Government.

Digitally signed by MADHAV ARVIND SHINDE
Date: 2020.01.28 15:08:55 +0530

(M. A. Shinde)
Chief Metropolitan Magistrate,
Esplanade, Mumbai.

14/01/2020
sas